Prepared by group 3

Group Project

Maximizing ROI through Genre Analysis & Budget Optimization

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Team Members

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Executive Summary

Content:

1. Analysis of 934 films reveals clear patterns for success
2. Three data-driven strategies to launch our studio profitably
3. Focus: ROI optimization, risk management, and market positioning

Our Analytical Approach

Content

- Data Sources: Box Office Mojo, IMDB, The Numbers
- Sample: 934 films with complete financial data (2010-2019)
- Metrics: ROI, Production Budget, Worldwide Gross, Ratings
- Methodology: Comparative analysis across genres and budget ranges

Raw Data → *Cleaning* → *Analysis* → *Insights*

Recommendation 1:

Focus on High-ROI Genres

Finding:

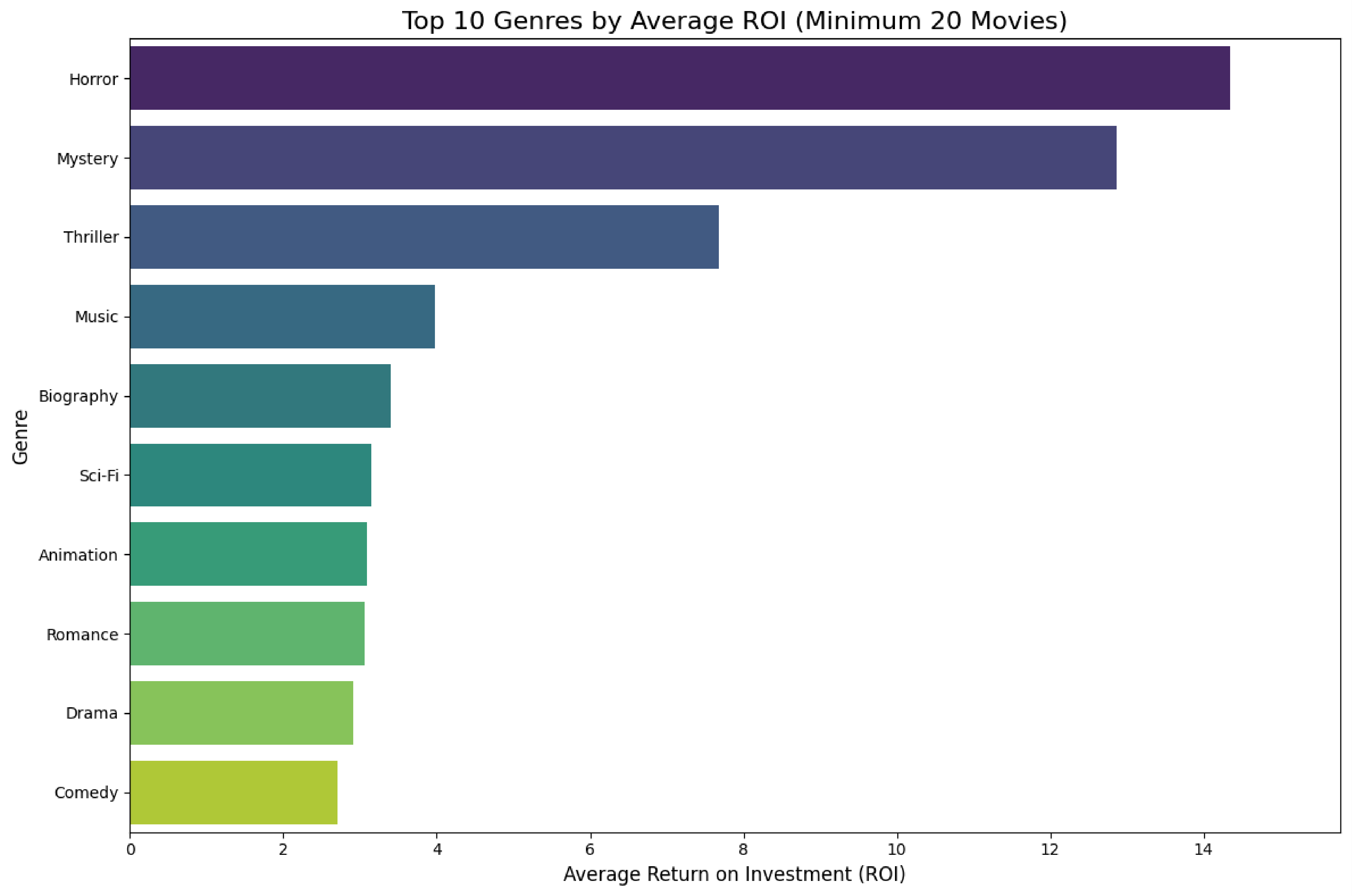
Horror films deliver 14.3x average ROI (1,335% return)

Comparison:

4x higher returns than average genre performance

Action:

Prioritize horror, mystery, and thriller content for initial productions

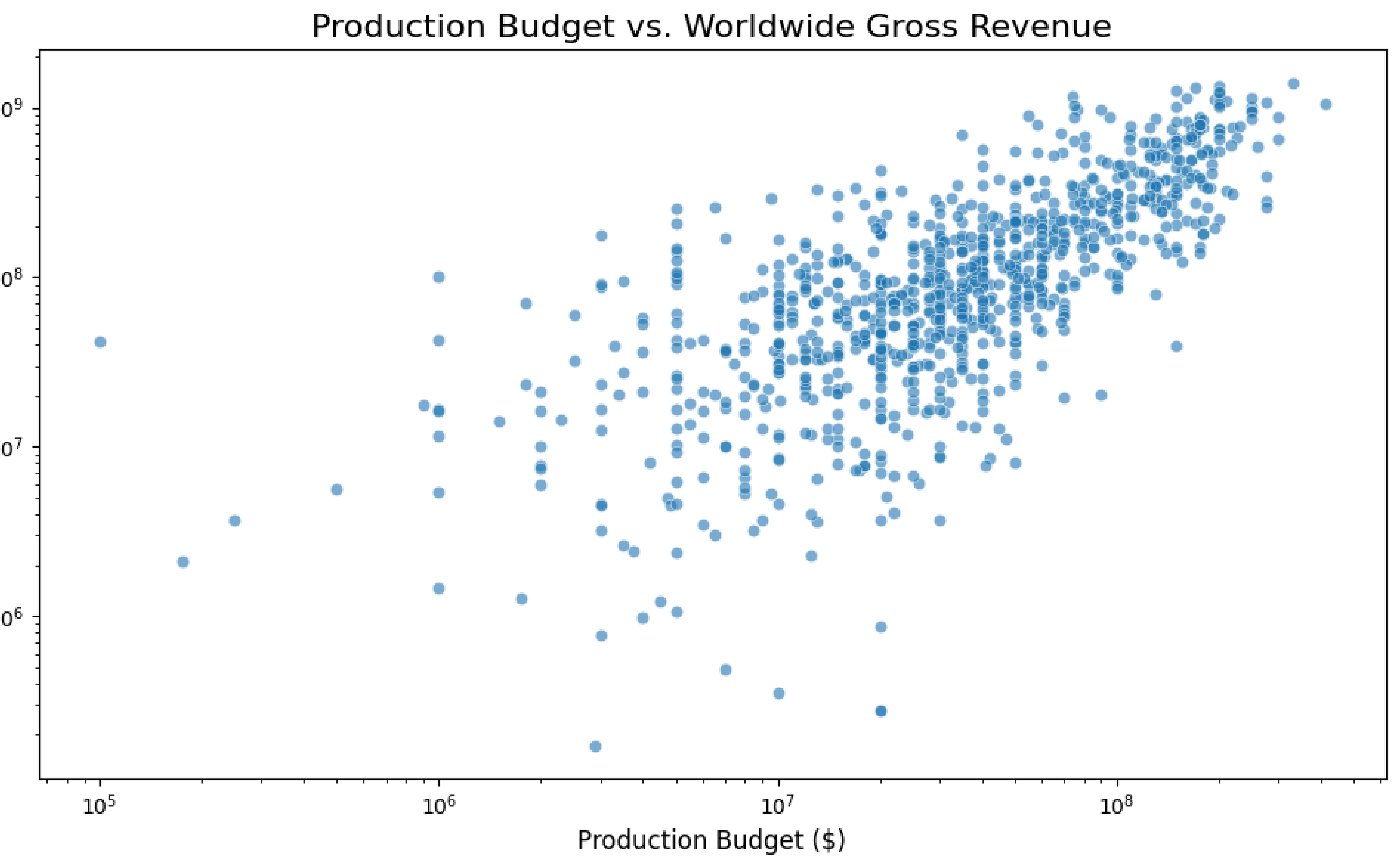


The Horror Advantage

- **Lower Production Costs: Smaller budgets, faster production timelines**
- **Built-in Audience: Consistent demand, franchise potential**
- **Higher Profit Margins: Better risk-reward ratio than blockbusters**
- **Examples: Paranormal Activity, Get Out, The Conjuring**

	Horror	Average Genre
Average ROI	14.3x	3.7x
Average Budget	$15M	$60M
Success Rate	68%	45%

Recommendation 2: Budget Strategy



- Sweet spot: $20-60M budgets

Finding:

- Strong budget-revenue correlation (0.76) with diminishing returns

Insight:

- Mid-range budgets ($20-60M) offer optimal risk-reward balance

Action:

- Avoid $100M+ blockbuster competition initially

Budget Tiers and Strategy

Tier 1: Foundation Building ($10-30M)

- Horror/Thriller films
- Focus on profitability and studio establishment

Tier 2: Growth Phase ($30-60M)

- Expand to mystery, action genres
- Develop franchise opportunities

Tier 3: Expansion ($60-100M)

- After proven success
- Compete with major studios

Recommendation 3: Balance Quality & Commerce

Finding:

- Ratings show weak ROI correlation (-0.06) but moderate revenue impact (+0.28)

Insight:

- Critical acclaim doesn't guarantee financial success

Action:

- Prioritize audience appeal over critical darling potential

12-Month Implementation Roadmap

Quater 1-2

- Develop 2 horror film concepts
- Secure $40-60M production funding
- Assemble production teams

Quater 3-4

- Begin production on first films
- Develop marketing strategies
- Establish distribution partnerships

Risk Management Strategy

- Diversification: Multiple films in development
- Budget Control: Strict $20-60M range enforcement
- Genre Focus: Proven horror/thriller formulas
- Exit Strategy: Partnership distribution deals

Projected Financial Outcomes

- Conservative Estimate: 3-5x ROI on initial investments
- Moderate Scenario: 6-8x ROI with franchise development
- Aggressive Scenario: 10x+ ROI with breakout hits
- Timeframe: 18-24 months to profitability

Thank you